



Insurance and Pensions Commission



PENSIONS INDUSTRY REPORT FOR THE QUARTER ENDED 31 DECEMBER 2018

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Disclaimer

This report does not cover the public-sector pension scheme, National Social Security Authority (NSSA). The report is based on unaudited financial statements of insured, stand-alone self-administered funds, as well as self-administered funds under insurers and professional fund administrators. The report, including any attachments, has been prepared by the Insurance and Pensions Commission solely for informative purposes to the pension industry stakeholders, and may not be reproduced, redistributed, communicated to a third party or relied upon by any other person or for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if the report is used for any other purpose other than for the above-mentioned intended purpose.

Contents

1	Industry Overview	6
1.1	Membership	7
1.2	Asset Quality	8
1.3	Earnings	10
2	Insured Schemes	11
3	Self-Administered Funds	15
4	Stand-Alone Pension Funds.....	19
5	Regulatory Developments.....	24
6	Zimbabwe National Budget 2019	25
7	Section D: Annexures	27

List of Figures

Figure 1: Trend In Industry Assets Growth	8
Figure 2: Distribution Of Total Assets For The Pensions Industry As At 31 December 2018	9
Figure 3: Growth Of Insured Fund Assets From 31 March 2017 To 31 December 2018	12
Figure 4: Composition Of Insured Fund Assets As At 31 December 2018	13
Figure 5: Distribution Of Self-Administered Funds Assets	17
Figure 6: Distribution Of Assets For Stand-Alone Funds	20
Figure 7: Income Streams For Stand-Alone Funds	22

List of Tables

Table 1: Key Highlights Of The Pensions Industry As At 31 December 2018	6
Table 2: Quarterly Breakdown In Membership	7
Table 3: Compliance Levels For Prescribed Assets	9
Table 4: Distribution Of Insured Pension Funds As At 31 December 2019	11
Table 5: Insured Funds Membership	12
Table 6 : Number Of Self-Administered Pension Funds As At 31 December 2018	15
Table 7: Distribution Of Membership For Self - Administered Funds	16
Table 8 : Membership Statistics For Stand-Alone Pension Funds	19

Definition of Terms

Insured Fund – A fund under the administration of an insurance company, whose contributions are used to buy assets which are registered in the name of the insurer, charged with the administration of the fund and not the in the name of that fund.

Self-Administered Fund – For the purposes of this report, self-administered funds are those under dedicated fund administrators and insurers but their assets are registered in the respective names of the funds.

Stand-Alone Fund – These are self-administered funds which own and control their administration structures (having own employees) for the purpose of operating the fund.

Pension Fund member – in relation to a fund, means any person who is a member of that fund in terms of the rules thereof.

Active member – Members of a fund who are actively contributing to the fund, including those on contribution holiday for a period of time.

Pensioner – a person in receipt of pension benefits from a pension fund.

Deferred Pensioner – A member whose pension benefits are preserved within the fund until the member attains the retirement age.

Suspended pensioner – A pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of his/her existence.

Members with unclaimed benefits – Members of a fund who have not claimed their benefits when they were entitled to receive such benefits and cannot be located by the fund.

1 Industry Overview

The key performance indicators for the pensions industry as at 31 December 2018 are as shown in Table 1.

Table 1: Key Highlights of the Pensions Industry as at 31 December 2018

Indicator	Insured Funds	Self-Administered Funds	Stand-Alone Self-Administered Funds	Total
Number of Funds	913	173	16	1,102
Active funds	372	135	16	523
Total Membership ¹	345,094	119,217	331,133	795,444
Beneficiaries	0	4,067	11,231	15,298
Share of total membership	43.19%	14.92%	41.89%	100.00%
Total Income (\$)	186,076,206	538,499,404	265,022,377	989,597,986
Total Contributions (\$)	97,695,584	109,831,650	128,194,351	335,721,585
Rental Income (\$)	1,000,188	9,479,259	37,581,111	48,060,558
Investment Income ²	92,094,334	416,096,481	94,151,064	602,341,879
Investment Income over total assets	6.92%	21.12%	2.96%	11.55%
Total Expenditure (\$) ³	92,476,233	110,697,148	166,307,345	369,480,726
Total Benefits Incurred (\$)	81,899,789	81,550,614	101,707,173	265,157,576
pension benefits per pensioner	166.77	241.08	145.72	167.55
Expenses/Contributions ⁴	10.65%	25.37%	23.80%	20.49%
Expenses/Total Income ⁴	5.59%	5.18%	11.51%	6.95%
Income Surplus(Deficit)	93,599,973	427,802,256	98,715,031	620,117,260
Total Assets (\$)	1,330,247,183	1,969,915,549	1,916,719,725	5,216,882,457
Total Assets per member	3,855	16,524	5,788	6,588
Percentage of Total Assets	25.50%	37.76%	36.74%	100.00%
Prescribed Assets (\$)	76,985,062	181,703,015	66,963,136	325,651,213
Prescribed Assets Ratio	5.79%	9.22%	3.49%	6.24%
Contribution Arrears (\$)	46,564,719	55,791,260	493,882,742	596,238,722

Notes:

1. Total membership excludes fund beneficiaries (widows and orphans of members).
2. Total Investment income is made up of rental income, dividends, interest on investments, profit on disposal on assets and fair value gains.
3. Total Expenditure for the industry includes benefits incurred.
4. Expenses are calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation reserves.

As shown in Table 1 above, the pensions industry had 1,102 registered occupational pension funds as at 31 December 2018. There was no significant change from the 1,100 funds reported as at 30 September 2018. The industry had 1,050 defined contribution schemes and 52 defined benefit schemes. It is also important to note that there were 913 insured funds, out of the 1,102 registered occupational schemes.

Of the 1,102 registered funds, 532 were active which constituted 47.5% of the total number of funds. More than half were inactive owing to a number of reasons ranging from the sponsoring employers failing to operate after the dollarization of the Zimbabwean economy, some funds requesting for paid up status and other funds initiating dissolution processes. For the period under review, the Commission received 46 applications for dissolution which are currently at various stages.

1.1 Membership

The total membership for registered occupational schemes was 795,444 members, increasing from 790,562 members as at 30 September 2018. The breakdown of membership as at 30 September 2018 and 31 December 2018 is shown in Table 2 below:-

Table 2: Quarterly Breakdown in Membership

Membership type	Membership as at ...	
	30 September 2018	31 December 2018
New Entrants	17,113	13,567
Actives	360,264	354,295
Pensioners	38,554	40,681
Deferred Pensioners	311,705	324,465
Suspended Pensioners	12,930	12,478
Unclaimed Benefits	49,996	49,958
Total Membership (excluding beneficiaries)	790,562	795,444
Beneficiaries	13,149	15,298
Total Membership (including beneficiaries)	803,711	810,742
Exits	10,864	8,685

1.2 Asset Quality

The industry asset base increased from \$4.65 billion as at 30 September 2018 to \$5.22 billion as at 31 December 2018, reflecting an increase of 12.26%. The trend of the asset base from 31 March 2017 to 31 December 2018 is shown in figure 1 below:-

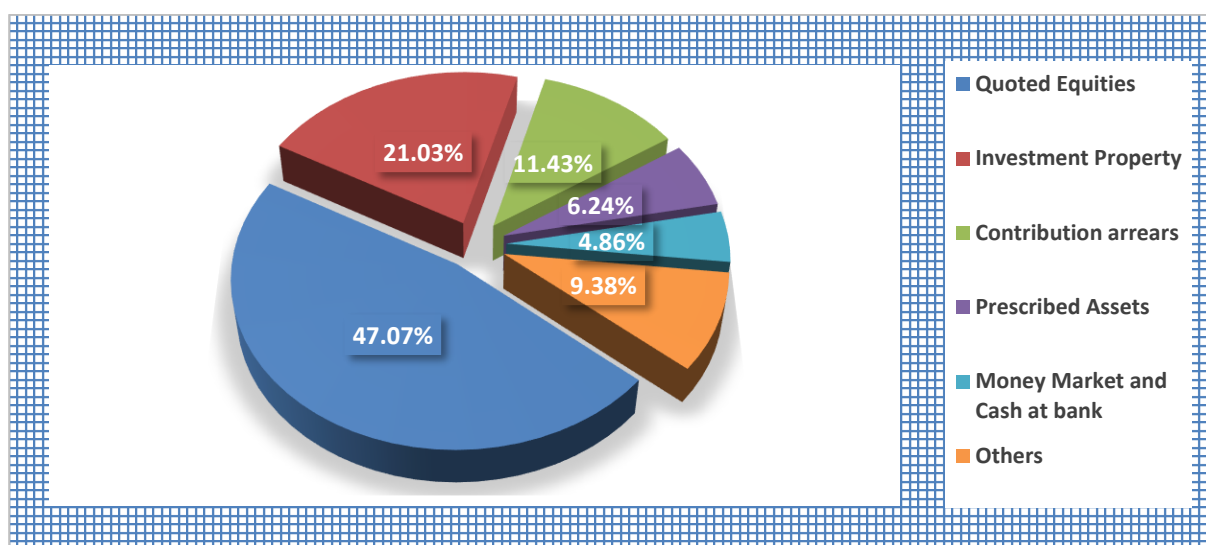
Figure 1: Trend in Industry Assets Growth



As shown in Figure 1 above, the asset base was on an upward trajectory from 31 December 2017 to 31 December 2018. The growth in the asset base was mainly due to an increase in the values of quoted equities from \$1.40 billion as at 31 December 2017 to \$2.46 billion as at 31 December 2018. The increase in the values of quoted equities was mainly a result of a bull-run on the Zimbabwe Stock Exchange during the period under review.

Quoted equities accounted for 47.07% of the pensions industry asset base as at 31 December 2018. The distribution of the industry's assets as at 31 December 2018 is shown in figure 2 below:-

Figure 2: Distribution of Total Assets for the Pensions Industry as at 31 December 2018



As shown in figure 2 above, Contribution arrears amounting to \$596.24 million accounted for 11.43% of the industry's assets and continue to compromise the benefits that will be received by pensioners on retirement.

The prescribed asset ratio decreased from 9.35% as at 30 September 2018 to 6.24% as at 31 December 2018. The decline was as a result of a reduction in the amount invested in prescribed assets, from \$434.87 million as at 30 September 2018 to \$325.65 million as at 31 December 2018. The reduction was mainly due to the maturity of prescribed assets held by life insurers and were not replaced. Table 3 below shows the compliance levels of prescribed assets from 31 March 2018 to 31 December 2018.

Table 3: Compliance levels for prescribed assets

Date	Amount Invested	Compliance Level
31 March 2018	\$306.93 million	7.39%
30 June 2018	\$323.04 million	7.37%
30 September 2018	\$434.87 million	9.35%
31 December 2018	\$325.65 million	6.24%

It is important to note that in the 2019 Budget announced in October 2018, government increased prescribed asset ratios from 10% to 20% for pension funds by 31 December 2019. Pursuant to that the Commission requested the industry to submit compliance plans by 31 March 2019.

Liabilities

The industry's total liabilities amounted to \$5.28 billion, supported by total assets of \$5.22 billion as at 31 December 2018, indicating a mismatch of \$67.09 million. The mismatch was mainly a result of defined benefit liabilities not being fully funded by the respective sponsoring employers.

The industry reported pension benefit arrears totalling \$72.54 million as at 31 December 2018 up from \$72.31 million reported in the period ending 30 September 2018. Unclaimed benefit liabilities declined from \$28.03 million as at 30 September 2018 to \$27.01 million as at 31 December 2018. The Commission urges funds to come up with strategies to identify and inform members with unclaimed benefits or their beneficiaries to reduce the magnitude of the liability.

1.3 Earnings

The industry reported a surplus of \$620.12 million for the 12 months ended 31 December 2018, improving from \$426.40 million reported for the same period in 2017. The total income was mainly driven by fair value gains on equities and contributions, accounting for a combined \$714.88 million and 72.24% of total income for the period under review. The fair value gains on equities were \$379.16 million for the period under review, compared to \$139.08 million for the same period in 2017.

Total expenditure during the period under review was composed of pension benefits totalling \$265.16 million and administration expenses(calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation reserves) totalling \$104.32 million. The administration expenses resulted in average expense ratios of 20.49% and 6.95% to total contributions and total income respectively. The two ratios were 15.59% and 8.37% respectively for the comparable period in 2017. The expense ratios continue to be a regulatory concern.

2 INSURED SCHEMES

2.1 Sector Architecture

There were 6 life offices insuring 913 insured pension funds as at 31 December 2018. The number of insured pension funds was unchanged from that reported as at 30 September 2018. The distribution of the pension funds among insurers as at 31 December 2018 is shown in Table 4 below.

Table 4: Distribution of Insured Pension Funds as at 31 December 2018

Life Assurer	31 December 2018
1. CBZ Life	3
2. Fidelity Life	70
3. First Mutual Life	186
4. Old Mutual Life	340
5. ZB Life	151
6. Zimnat Life	163
Total	913

Although there were 913 funds administered, there were only 372 active funds which constituted 40.74% of the total insured funds administered. Inactive funds are funds which are either paid-up or under dissolution. The high number of inactive funds was mainly due to some sponsoring employers failing to contribute to pension funds, owing to viability challenges.

2.2 Membership

Insured pension funds had 345,094 members as at 31 December 2018. The membership increased from 338,084 members reported as at 30 September 2018 due to new entrants totaling 7,415 members during the quarter under review. The new entrants outweighed the 405 reported exits for the quarter. The breakdown of membership for insured funds as at 30 September 2018 and 31 December 2018 is shown in Table 5 below.

Table 5: Insured Funds Membership

Membership Class	Number of Insured Schemes as at...	
	30 September 2018	31 December 2018
New Entrants	8,346	7,415
Active Members (Excluding new Entrants)	122,441	124,344
Pensioners	7,806	8,037
Deferred Pensioners	194,600	200,388
Suspended Pensioners	1,613	1,404
Members with unclaimed Benefits	3,278	3,506
Total	338,084	345,094
Exits	6,241	405

2.3 Asset Quality

Insured funds reported assets totalling \$1.33 billion as at 31 December 2018, constituting 25.50% of the industry's total assets. The asset base as at 31 December 2018 reflected a 9.02% increase from the \$1.22 billion as at 30 September 2018. The increase in the asset base was mainly due to an increase in quoted equities from \$662.45 million as at 30 September 2018 to \$868.75 million as at 31 December 2018. The growth of insured fund assets from 31 March 2017 to 31 December 2018 is shown in figure 3 below.

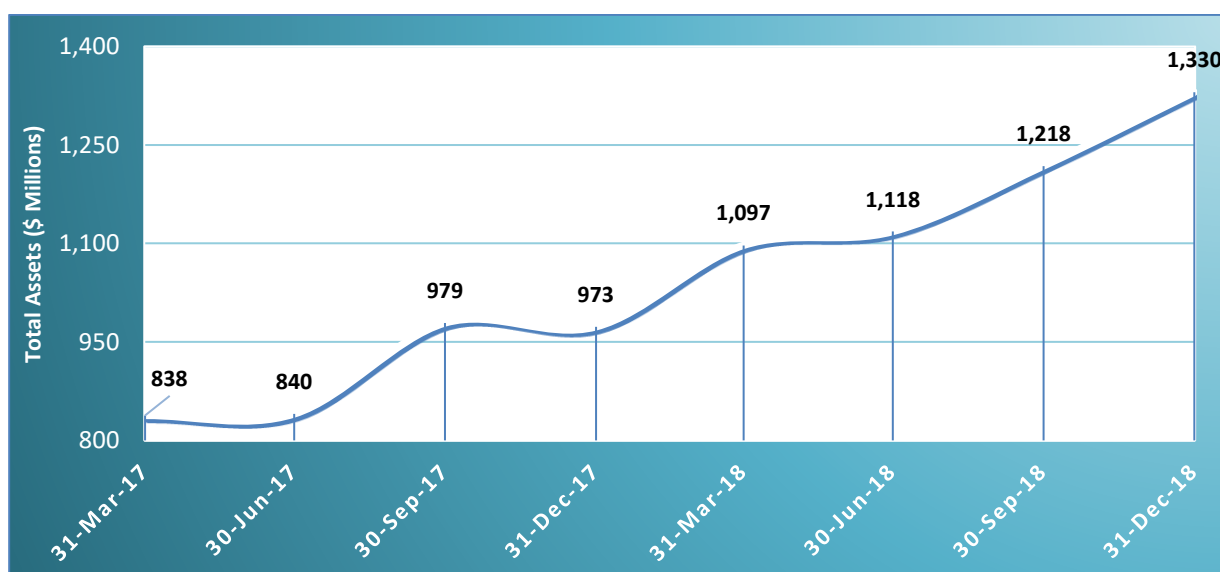
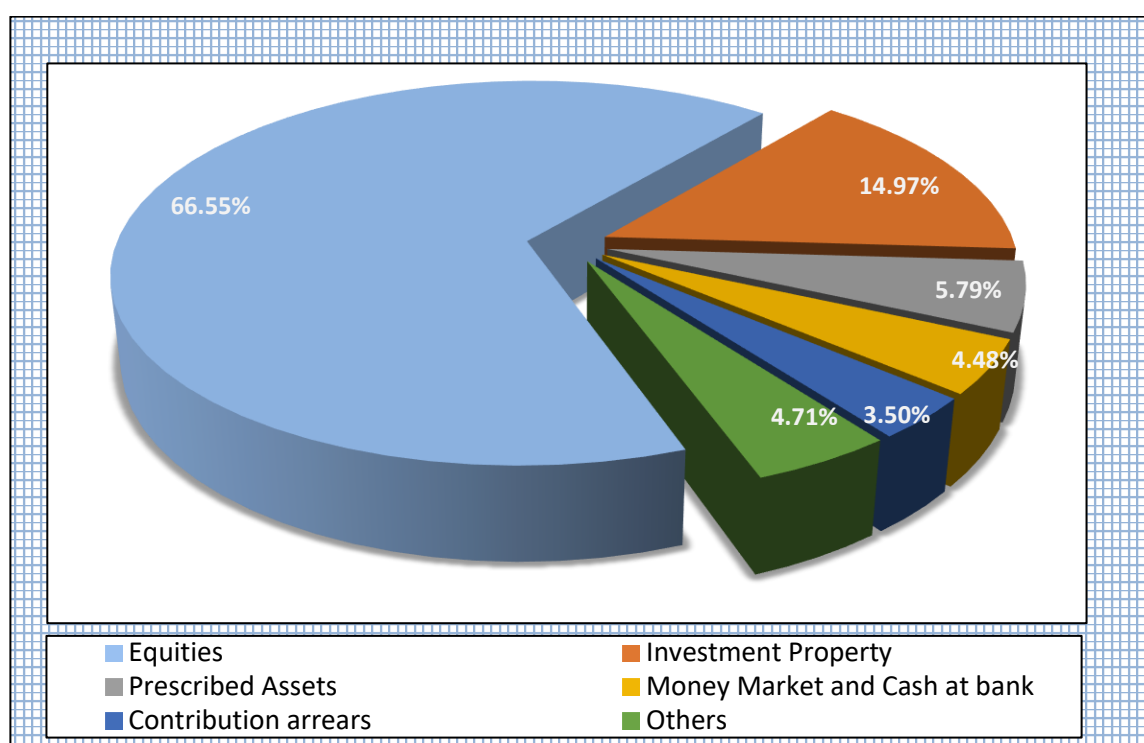
Figure 3: Growth of insured fund assets from 31 March 2017 to 31 December 2018

Figure 3 above indicates that insured pension fund assets have been on an upward trajectory from 31 March 2017 to 31 December 2018, increasing by an average annual growth rate of 25.98% over the period. The growth in the asset base generally resulted in an increase in fund members' accumulations.

As at 31 December 2018, the asset base for insured schemes was skewed towards equities and investment property which accounted for a combined total of \$1.08 billion, constituting 91.53% of the total asset base as at that date. The balance of \$0.25 billion, representing 8.47% of insured funds' total assets was invested in various other asset classes as shown in Figure 4 below.

Figure 4: Composition of Insured fund assets as at 31 December 2018



As depicted in figure 4 above, investments in prescribed assets accounted for 5.79% of the sector's total assets as at 31 December 2018, attributable to \$76.99 million. The prescribed asset ratio as at 31 December 2018 was lower than the 10% regulatory threshold as at that date and was also lower than the 10.89% reported as at 30 September 2018. The investment in prescribed assets declined as a result of prescribed assets which matured during the period and were not replaced. The Commission encourages insurers to be compliant with prescribed asset ratio thresholds and also lobby for the availability of prescribed assets that can preserve value in the prevailing market conditions.

2.4 Earnings

Insured schemes reported total income amounting to \$186.08 million and total expenditure amounting to \$92.48 million for the year ended 31 December 2018, resulting in a surplus of \$93.60 million.

The income was an improvement from the \$177.82 million reported for the year ended 31 December 2017. Contributions, which totalled \$97.70 million, accounted for 52.50% of the total income for the period under review. As a result of the bullish performance of the stock market, fair value adjustments totalling \$73.65 million contributed 39.58% of the total income for the period under review.

Total pension benefits paid totalled \$81.90 million for the period under review, attributable to 88.56% of the sector's total expenditure. The sector's administrative expenses (calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation reserves) totalling \$10.58 million for the period under review translated to average expense ratios of 10.65% and 5.59% to contributions and total income respectively.

The Statements of Comprehensive Income for Insured Schemes for the year ended 31 December 2018 are shown on Annexure 3.

3 SELF-ADMINISTERED FUNDS

3.1 Sector Architecture

The number of self-administered funds as at 31 December 2018 remained unchanged at 173 as reported in the quarter ending 30 September 2018. The funds were being administered by 5 administrators and 5 life offices. The distribution of self-administered pension funds among administrators and life offices as at 31 December 2018 is shown in Table 6 below.

Table 6 : Number of Self-Administered Pension Funds as at 31 December 2018

Name of Administrator/Insurer*	Number of Funds
Professional Administrators	
Capitol Insurance Broker	1
Comarton Consultants	29
Marsh Employee Benefits	44
Minerva Benefit Consulting	59
Zimbabwe Insurance Brokers	5
Sub-total	138
Life Companies	
Fidelity Life Assurance Company	1
First Mutual Life Assurance Company	5
Old Mutual Life Assurance Company	25
Nyaradzo Life Assurance Company	2
Zimnat Life Assurance Company	2
Sub-total	35
Grand Total	173

*Not all registered life offices (life assurance companies) are involved in pension administration

3.2 Membership

The total membership for self-administered funds decreased from 120,675 as at 30 September 2018 to 119,217 members as at 31 December 2018. The reduction in membership was attributed to exits totaling 6,130 members, which outweighed the number of new entrants during the quarter under review.

The various categories of membership as at 30 September 2018 and 31 December 2018 are shown in table 7 below.

Table 7: Distribution of Membership for Self - Administered Funds

Membership Class	Number of members as at.....	
	30 September 2018	31 December 2018
New Entrants	3,259	4,672
Active Members (excluding new)	91,705	83,262
Pensioners	6,925	6,973
Deferred Pensioners	12,257	17,165
Suspended Pensioners	2,879	3,017
Unclaimed Benefits	3,650	4,128
Total Membership	120,675	119,217
Exits	4,366	6,130

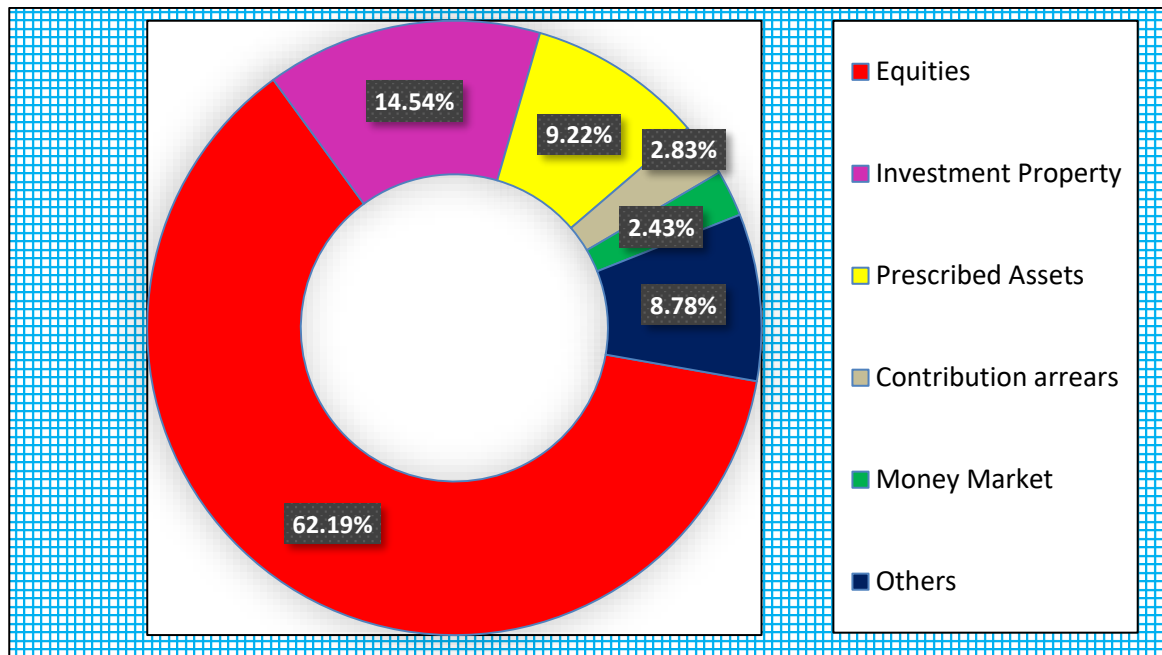
3.3 Asset Quality

There was a 22.84% increase in the asset base for self-administered pension funds, from \$1.60 billion as at 30 September 2018 to \$1.97 billion as at 31 December 2018. The increase in the asset base was mainly due to a 59.36% increase in the value of equities, from \$768.73 million as at 30 September 2018 to \$1.23 billion as at 31 December 2018. The increase in the value of equities was on account of revaluation gains and the purchasing of shares by funds to hedge against perceived inflationary pressures.

The asset base for the sector accounted for 37.76% of the industry's total assets and translated to an average capital accumulation per member of \$16,523.78 as at 31 December 2018.

Figure 5 below shows the distribution of self-administered funds' assets as at 31 December 2018. See Annexure 6, the Consolidated Statement of Financial Position for more details.

Figure 5: Distribution of Self-Administered Funds Assets



As shown in Figure 5 above, the total asset base for self-administered funds was mainly skewed towards equities investments, totaling \$1.23 billion and accounting for 62.19% of total assets as at 31 December 2018. There was a 23.52% decrease in the amount invested in prescribed assets from \$237.58 million as at 30 September 2018 to \$181.70 million as at 31 December 2018. The prescribed assets investment translated to 9.22% of the total asset base as at 31 December 2018. However, only pension funds under the purview of 3 out of the 10 fund administrators were compliant with the stipulated 10% minimum prescribed asset requirements.

The sector's contribution arrears decreased by 19.72% to \$55.79 million as at 31 December 2018 from \$69.49 million reported as at 30 September 2018. The contribution arrears accounted for 2.83% of the total assets.

3.4 Earnings

Self-administered funds reported total income of \$538.50 million and total expenditure of \$110.70 million respectively, resulting in a surplus of \$427.80 million for the 12 months ending 31 December 2018.

The income was mainly attributed to fair value gains which amounted to \$288 million, translating to 53.56% of the total income for the period under review. The total income was 36.51% higher than \$313.39 million reported in the same period in 2017 mainly due to the increase in fair value gains, as already alluded to.

The expenditure of \$110.70 million was mainly driven by benefit payments totaling \$81.55 million, which accounted for 73.67% of total expenditure for the 12 months under review. See annexure 5 for detailed Statements of Comprehensive Income for self-administered pension funds.

Total expenditure was 23.87% higher than the \$91 million reported as at 31 December 2017. The comparative increase was mainly due to higher investment management and property expenses during the 12 months ending 31 December 2018.

Administrative expenditure totaled \$29.15 million for the 12 months ending 31 December 2018, translating to expense ratios of 5.41% and 26.50% of total income and total contributions respectively.

4 STAND-ALONE PENSION FUNDS

4.1 Overview of Stand-Alone Funds Sector

There were 16 stand-alone pension funds as at 31 December 2018, the same number that was reported for the period ending 30 September 2018.

4.2 Membership

Total membership for stand-alone pension funds marginally decreased from 331,803 as at 30 September 2018 to 331,133 members as at 31 December 2018. The distribution of membership by class as at 30 September 2018 and 31 December 2018 is shown in Table 8 below.

Table 8 : Membership Statistics for Stand-Alone Pension Funds

Membership Category	Number of members as at...	
	30 September 2018	31 December 2018
New entrants	5,508	1,480
Active members	146,118	146,689
Pensioners	23,823	25,671
Deferred Pensioners	104,848	106,912
Suspended Pensioners	8,438	8,057
Unclaimed benefits	43,068	42,324
Totals	331,803	331,133
Exit members	277	2,150

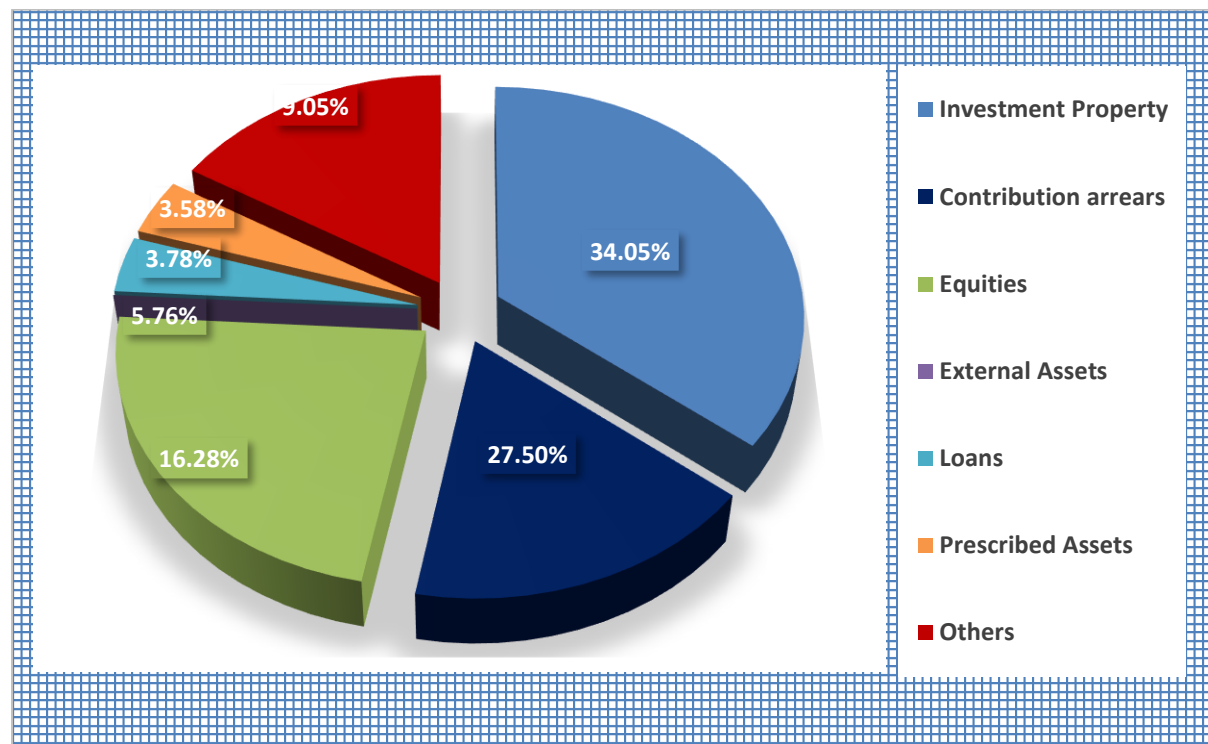
As shown in Table 8 above, the sector had 42,324 members with unclaimed benefits which constituted 12.65% of the stand-alone membership. Unclaimed benefits remained high in the sector owing to legacy issues, labour mobility, closure of companies, lack of knowledge on the part of affected members and weak record keeping. Efforts by the Commission to educate the public of the existence of the unclaimed benefits and efforts of pension funds in tracing the members are being intensified.

4.3 Asset Base

Stand-alone pension funds reported total assets amounting to \$1.92 billion as at 31 December 2018. The total asset base was 6.08% higher than the \$1.81 billion reported as at 30 September 2018. The improvement in the sector's asset base was mainly attributable to a \$113.75 million increase in equities values, from \$294.29 million as at 30 September 2019 to \$408.04 million as at 31 December 2019.

The total asset base accounted for 36.74% of the industry's total asset base, and translated to an average asset accumulation of \$5,728 per member. The distribution of assets for stand-alone pension funds as at 31 December 2018 is shown in Figure 6.

Figure 6: Distribution of Assets for Stand-Alone Funds



The sector reported contribution arrears of \$493.87 million, declining from \$497.11 million reported as at 30 September 2018. The arrears constituted 25.74% of the total assets of the sector and also accounted for 82.38% of the industry's total contribution arrears. The contribution arrears were mainly concentrated in 6 pension funds, namely Mining Industry Pension Fund, Local Authorities Pension Fund, Zimbabwe Electricity Industry Pension Fund, Unified Councils Pension Fund, National Railways Contributory Pension Fund and

Communication and Allied Industries Pension Fund. The 6 funds accounted for arrears totalling \$470.35 million, equating to 95.24% of the total contribution arrears for stand-alone funds.

The contribution arrears, together with rental arrears totaling \$30.30 million as at 31 December 2018, continued to be the main drivers of liquidity challenges in stand-alone pension funds. As at 31 December 2018, stand-alone funds had \$64.70 million invested in prescribed assets, translating to 3.58% of the total assets. This was below the regulatory requirement of 10%.

Only four (4) pension funds, out of the 16 funds in the sector were compliant with the requirement.

The compliant funds were Catering Industry Pension Fund, Motor Industry Pension Fund, ZB Financial Holdings Pension Fund and Zimbabwe Electricity Industry Pension Fund. Non-compliance with the prescribed asset requirement was mainly attributable to contribution arrears and investment in properties that are adversely affecting the liquidity position of pension funds in the sector.

4.4 Liabilities

Stand-alone funds reported arrear pension benefits totaling \$68.29 million as at 31 December 2018, increasing from \$67.38 million reported for the period ending 30 September 2018. This was mainly as a result of low liquidity within the affected pension funds.

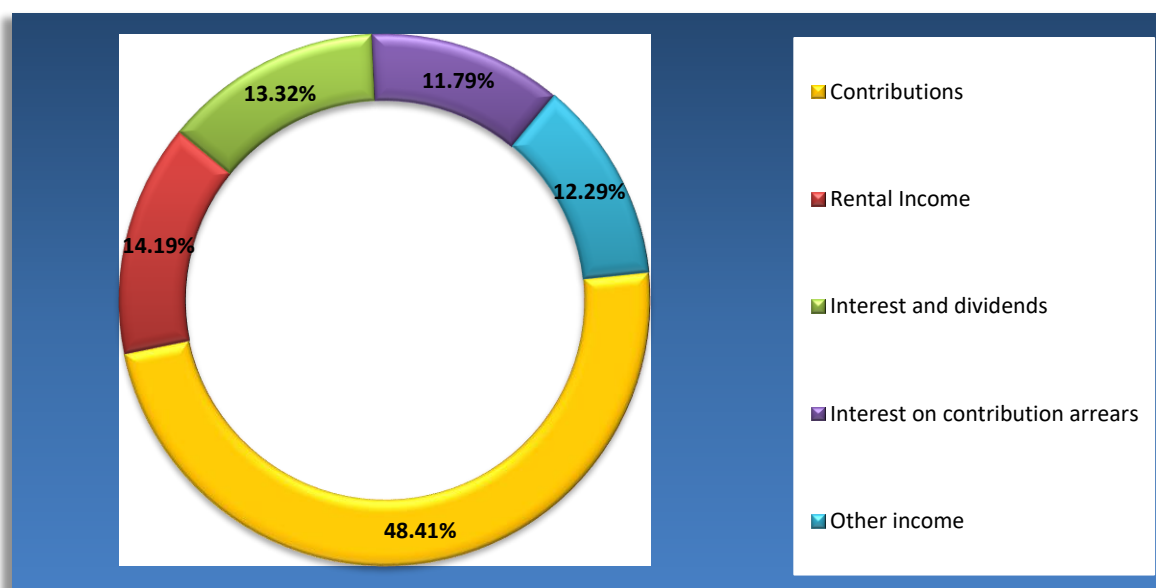
The sector reported unclaimed benefits totalling \$17.01 million as at 31 December 2018, decreasing from the \$17.99 million reported as at 30 September 2018. An amount of \$11.62 million, which is 65.61% of the \$17.01 million unclaimed benefits liabilities was for members from the Mining Industry Pension Fund (MIPF). This was mainly due to high mobility within the mining sector and migrant workers who came from Zimbabwe's neighbouring countries. After working in the country, the workers returned to their countries without claiming their pension benefits. See Annexure 8 for a detailed breakdown of Stand- Alone pension funds' liabilities.

4.5 Earnings

Stand-alone pension funds reported total income and total expenditure amounting to \$265.03 million and \$166.31 million respectively, resulting in net income of \$98.72 million for the year ended 31 December 2018. The income was mainly made up of contributions and rental income which amounted to \$128.19 million and \$37.58 million respectively, accounting for a combined 62.55% of total income for the sector.

The sector's total income increased by 14.60% from \$231.27 million reported for the corresponding period in 2017. The increase was mainly driven by increases in investment income. The breakdown of income for the 12 months ending 31 December 2018 is summarised in Figure 7 below. Refer to Annexure 7 for detailed consolidated statement of comprehensive income of stand-alone funds.

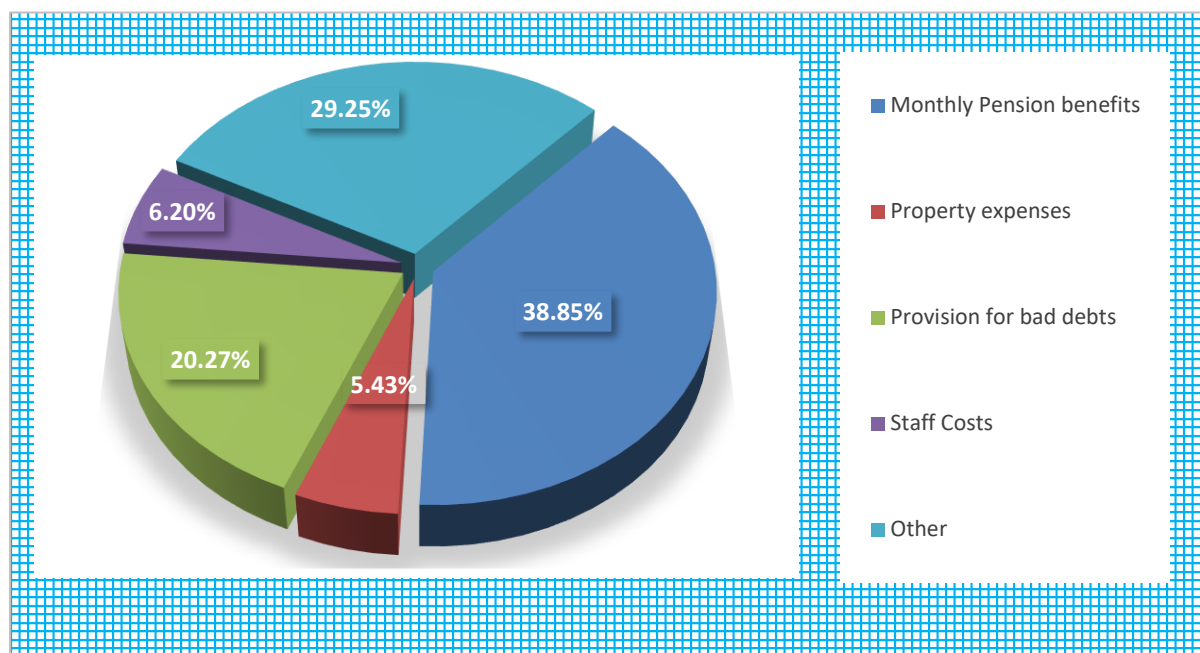
Figure 7: Income Streams for Stand-Alone Funds



Total expenditure for stand-alone pension funds increased by 27.58%, from \$127.75 million recorded as at 31 December 2017. The increase in expenditure was mainly driven by an increase in pension benefits payments which increased from \$89.03 million for the year 31 December 2017 to \$101.71 million. The increase in pension benefits may be underpinned by the increase in number of pensioners from 23,150 as at 31 December 2017 to 25,671 pensioners as at 31 December 2018.

The breakdown of total expenditure for stand-alone pension funds for the period under review is shown in Figure 9 below.

Figure 9: Breakdown of Expenditure for Stand-Alone Funds



Stand-alone pension funds reported \$64.60 million in administrative expenses, translating to average administrative expenses to contributions ratio of 23.63% and administration expense to total income ratio of 11.44%. The high expense ratios are unsustainable in the long run as they have a negative bearing on member values, particularly for defined contribution schemes. Following the announcement of the 2019 National Budget, the Commission will implement numerous measures to curb high administration expenses.

5 REGULATORY DEVELOPMENTS

5.1 During the 12 months ended 31 December 2018, the Commission issued the following documents to the Industry;

Document	Release Date	Content
Pension Reforms Paper	September 2018	Proposed reforms for the industry
Circular 6 of 2018	July 2018	Certificate of Proficiency in Trusteeship compliance review

5.2 During the 12 months ended 31 December 2018, the Commission conducted onsite inspections on the following entities;

- a. Mining Industry Pension Fund
- b. Zimbabwe Amalgamated Railway Workers Pension Fund
- c. NRZ Provident Fund
- d. GMB Pension Fund

5.3 The key findings were as follows;

- a. Most of the funds were generally regarded to have incomplete data owing to weak IT systems and poor record keeping.
- b. The Commission also noted poor corporate governance within some of the funds, emanating from some boards not being properly constituted or the trustees being unqualified for the position of trusteeship.
- c. Some funds were not issuing benefit statements, or communicating with members with respect to the fund's financial position and changes to rules.
- d. Most of the funds were plagued by high levels of contribution arrears, which affected benefit payments to members and also resulted in opportunity costs on investments.
- e. Some of the funds were deemed to have high expense ratios mainly owing to operational inefficiencies and high property expenditure.
- f. While most of the funds were deemed to be financially sound, one of the funds was deemed to be financially unsound and was earmarked for dissolution.

6 ZIMBABWE NATIONAL BUDGET 2019

On 22 November 2018, the Minister of Finance and Economic Development presented the 2019 National Budget which had the following matters of concern to the Pensions Industry;

- 6.1** The prescribed asset threshold for pension funds was increased from 10% to 20% and compliance has to be attained by 31 December 2019. Resultantly, the Commission issued Circular 3 of 2019 requesting all pension funds to submit their compliance plans to the Commission by 31 March 2019.
- 6.2** The Commission was mandated to spearhead the implementation of the proposed pension reforms regarding conversion of all defined benefit pension funds to defined contribution funds for parastatals and local authorities, as well as the harmonisation of contribution rates for all parastatals to 12% for employers and 8% for employees.
- 6.3** Industry specific pension funds established through collective bargaining agreements are to be opened up to competition, allowing a participating employer to exit the fund and transfer assets to another fund or any employer within that industry to register own fund for its employees.
- 6.4** The budget also highlighted the safeguarding of pension fund assets by separation of insurance business and pension administration through the setting up of separate units by December 2019. The Pension and Provident Funds Act under section 16 requires life insurers conducting pension fund administration to set up a Pension Fund which will hold assets designated for its pensions business. The Commission will conduct targeted inspections to enforce compliance by life insurers. The Pension and Provident Funds Bill also elaborates on matters relating to holding of assets by life insurers.
- 6.5** The budget further highlighted the need for legislation which provides for domestic portability of pension between the public and the private sectors. Implementation of this reform requires amendment of legislation governing both public and private pension schemes to allow for the portability of benefits.

6.6 The budget further announced the proposed establishment of a PolicyHolder and Pension & Provident Fund Members Protection Fund. The purpose of the fund shall be to compensate policyholders and pension and provident funds members for losses directly incurred by them in the event of a contributing institution becoming insolvent. The reform will be implemented through proposed amendments to the Insurance and Pensions Commission Act [Chapter 24:21] which will establish the Fund.

7 SECTION D: ANNEXURES

Annexure 1: Consolidated Industry Statement of Comprehensive Income for the 12 months ended 31 December 2018

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
Income				
Year to date Contributions (Including arrears)	97,695,584	109,831,650	128,194,351	335,721,585
Interest on contribution arrears	-	16,114	31,223,239	31,239,353
Transfer from (to) other funds	(261,970)	8,209,553	(181,963)	7,765,621
Rental Income	1,000,188	9,479,259	37,581,111	48,060,558
Interest from Investments	6,582,434	23,333,703	15,986,800	45,902,937
Dividends from investments	2,342,820	40,794,036	19,287,097	62,423,953
GLA Premiums received (paid)	(3,451,743)	(4,881,796)	24,571	(8,308,968)
Profit on sale of assets	8,515,216	54,058,089	4,223,380	66,796,685
Fair Value Gains on equities	73,653,676	288,431,394	17,072,675	379,157,745
Other	-	9,227,401	11,611,114	20,838,515
Total Income	186,076,206	538,499,404	265,022,377	989,597,986
EXPENDITURE				
Benefits				
Year to date monthly pension benefits	16,083,593	31,938,092	64,529,769	112,551,453
Retrenchements and retirements	2,875,267	14,092,160	20,635,523	37,602,949
Full/part commutations paid after initial commutation	27,760,458	1,653,111	5,457,796	34,871,365
Withdrawals (resignations and dismissal)	30,112,072	28,399,867	1,200,596	59,712,535
Deaths	71,361	3,868,686	1,768,408	5,708,455
Other	4,997,039	1,598,699	8,115,082	14,710,820
Total Benefits Paid	81,899,789	81,550,614	101,707,173	265,157,576
Deductions by NEC	-	-	3,906	3,906
Staff costs	-	-	10,303,587	10,303,587
Admin Expenses	7,295,354	5,768,559	6,190,412	19,254,325
Investment Management Expenses	1,517,130	13,111,014	1,238,580	15,866,724
Actuarial fees	22,890	446,109	203,622	672,621
Audit fees	27,074	510,325	208,182	745,581
Legal fees	-	59,261	369,574	428,835
Board Fees	-	220,733	1,301,899	1,522,632
IPEC Levies	301,074	488,663	520,429	1,310,166
Bank Charges	50,428	380,393	863,532	1,294,353
Sundry expenses	928,034	1,523,067	-	2,451,101
Subscriptions	65,221	99,950	59,278	224,449
Property Expenses	196,299	3,420,149	9,015,422	12,631,870
Transfer to reserves	172,939	1,564,067	164,201	1,901,207
Provision for bad debtors	-	-	33,708,945	33,708,945
Others	-	1,840,614	231,603	2,072,216
Total Administration Expenditure (sub-total)	10,576,444	29,146,534	64,600,172	104,323,150
TOTAL EXPENDITURE	92,476,233	110,697,148	166,307,345	369,480,726
Surplus/ (Deficit)	93,599,973	427,802,256	98,715,031	620,117,260

Annexure 2: Consolidated Industry Statement of Financial Position as at 31 December 2018

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
ASSETS				
Operating Assets				
Property		-	2,410,780	2,410,780
Motor vehicles		42,000	2,416,413	2,458,413
Furniture and equipment		-	753,714	753,714
Computer systems and equipment		-	1,579,401	1,579,401
Other		-	192,229	192,229
Total operating assets	-	42,000	7,352,537	7,394,537
Investment Assets (Non- Current)				
Investment Property	199,201,145	286,349,279	611,467,725	1,097,018,148
Equities - Quoted	868,751,197	1,207,814,967	378,901,896	2,455,468,060
- Unquoted	16,505,531	17,255,037	29,137,387	62,897,954
Prescribed Assets - Government Stock	2,133,141	43,009,051	34,341,419	79,483,611
- Other prescribed assets	14,737,459	131,796,328	18,519,616	165,053,403
Fixed interest securities e.g. private bonds and debentures	14,693	12,540,214	5,204,761	17,759,668
Loans and Mortgages on Property (excluding staff)	-	909,725	33,323,847	34,233,572
Staff loans and Mortgages	138,204	1,130,780	1,247,503	2,516,487
Other loans	-	-	31,533,834	31,533,834
External Assets	-	-	103,848,892	103,848,892
Long-term deposits	3,097,182	47,570	2,137,169	5,281,921
Gauranteed Fund	-	27,204,012	-	27,204,012
Other	408,213	16,219,259	17,657,152	34,284,624
Total non-current investment assets	1,104,986,765	1,744,276,221	1,267,321,202	4,116,584,188
Investment Assets (Current)				
Prescribed Assets - Government Stock	6,273,561	1,739,318	13,309,816	21,322,696
- Other prescribed assets	53,840,901	5,158,318	792,284	59,791,504
Fixed interest securities	-	20,237,458	-	20,237,458
Cash at Bank	10,521,085	56,541,999	16,222,363	83,285,447
Money Market investments	59,638,506	47,958,309	62,439,953	170,036,769
Staff loans	-	-	530,959	530,959
Dividends and interest receivable	1	1,920,439	1,812,251	3,732,691
Other	48,214,417	32,034,552	16,828,927	97,077,895
Total current investment assets	178,488,471	165,590,393	111,936,553	456,015,417
Contribution arrears *	46,564,719	55,791,260	493,882,742	596,238,722
Rental arrears*	207,228	4,169,638	30,303,158	34,680,024
Group Life Assurance contribution arrears	-	-	1,822,927	1,822,927
Other	-	46,036	4,100,606	4,146,642
TOTAL ASSETS	1,330,247,183	1,969,915,549	1,916,719,725	5,216,882,457
LIABILITIES				
Reserves	1,326,647,311	1,910,327,232	1,254,721,822	4,491,696,365
Provisions	2,158,540	5,572,406	518,484,781	526,215,727
Deferred pension benefits	-	17,080,122	94,724,487	111,804,609
Arrear pension benefits	-	4,241,796	68,293,568	72,535,364
Unclaimed Benefits	-	9,300,699	17,706,883	27,007,582
Sundry Creditors	-	11,327,634	13,499,012	24,826,646
Withdrawals	-	9,915,154	1,626,770	11,541,924
Other Creditors	1,441,332	2,150,506	14,749,310	18,341,147
TOTAL LIABILITIES	1,330,247,183	1,969,915,549	1,983,806,633	5,283,969,365
DIFFERENCE	-	(0)	(67,086,907)	(67,086,908)

**Annexure 3: Consolidated Statement of Comprehensive Income for Insured Schemes per Insurer
for the 12 months ended 30 December 2018**

	CBZ Life Assurance Company	Fidelity Life Assurance Company	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
Income							
Year to date Contributions (Including arrears interest)	83,953	6,627,065	11,555,677	69,180,655	1,709,790	8,538,444	97,695,584
Interest on contribution arrears							
Transfer / (to) from other funds	40,353	-	(39,623)	-	(312,286)	49,586	(261,970)
Rental Income	-	14,856	-	-	155,148	830,184	1,000,188
Interest from Investments	-	418,758	228,234	3,713,945	317,037	1,904,460	6,582,434
Dividends from investments	-	-	29,526	844,467	557,782	911,045	2,342,820
GLA Premiums received (paid)	19,166	330	1,384,984	(5,558,366)	(129,123)	831,266	(3,451,743)
Profit/(Loss) on Disposal of investments						8,515,216	8,515,216
Other Income (specify) - FV adjustments			5,909	62,488,969	2,284,722	8,874,076	73,653,676
Other							
Total Income	143,472	7,061,009	13,164,708	130,669,670	4,583,070	30,454,277	186,076,206
Expenditure							
Benefits to members							
Year to date monthly pension benefits		5,587	309,895	15,650,216	99,216	18,678	16,083,593
Retirements, retrenchments			1,613,950	-	880,450	380,867	2,875,267
Full commutations paid		2,300,065	4,400	24,783,126	161,220	511,647	27,760,458
withdrawals			1,268,325	26,311,697		2,532,051	30,112,072
Deaths						71,361	71,361
Other benefits	10670.92			4,986,368			4,997,039
Sub-total	10,671	2,305,652	3,196,569	71,731,407	1,140,886	3,514,604	81,899,789
Administrative Expenses							
Deductions by NEC				-			-
Staff costs							-
Admin Expenses	8,495.06	206,077	504,170	4,245,796	127,099	2,203,717	7,295,354
Investment Management Expenses			38,147		467,931	1,011,053	1,517,130
Actuarial fees			11,200			11,690	22,890
Audit fees						27,074	27,074
IPEC Levies		68,409	24,300	50,850.00	28,584	128,931	301,074
Bank Charges			319		2,395	47,714	50,428
Sundry expenses			192,767	732,617.24	2,650	-	928,034
Subscriptions i.e. ZAPF				40,034		25,187	65,221
Property Expenses						196,299	196,299
Transfer to reserves	124,306.04		48,633				172,939
Loss/profit on disposal of assets (specify)							-
Provision for bad debtors							
Others:1)							-
Sub-total	132,801	274,486	819,535	5,069,297	628,659	3,651,666	10,576,444
Total Expenditure	143,472	2,580,138	4,016,105	76,800,704	1,769,545	7,166,269	92,476,233
Net Income	-	4,480,871	9,148,603	53,868,966	2,813,525	23,288,008	93,599,973

Annexure 4: Consolidated Statement of Financial Position for Insured Schemes per Insurer as at 31 December 2018

	CBZ Life Assurance Company	Fidelity Life Assurance	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
ASSETS							
Investment Assets (Non- Current)							
Investment Property		5,029,513		179,603,244	1,268,940	13,299,447	199,201,145
Equities - Quoted		5,120,997	1,604,295	810,505,953	14,418,826	37,101,126	868,751,197
- Unquoted		9,845,850	-		2,258,371	4,401,310	16,505,531
Prescribed Assets - Government Stock		-	-		2,133,141		2,133,141
- Other prescribed assets		14,604,508	132,951		-		14,737,459
Fixed interest securities			-		14,693		14,693
Staff loans and Mortgages			-		138,204		138,204
Long-term deposits			2,718,951		378,232		3,097,182
Other(specify)	125,789				282,424		408,213
Total Non-Current Investments	125,789	34,600,868	4,456,196	990,109,197	20,892,831	54,801,883	1,104,986,765
Investment Assets (Current)							
Prescribed Assets - Government Stock				6,273,561			6,273,561
- Other prescribed assets				36,874,962		16,965,939	53,840,901
Cash at Bank			130,351	8,959,033		1,431,702	10,521,085
Money Market investments		845,377	1,858,242	32,917,828	2,104,699	21,912,361	59,638,506
Other (Specify)			48,613,494			(399,077)	48,214,417
Total current investment assets	-	845,377	50,602,086	85,025,383	2,104,699	39,910,925	178,488,471
Contribution arrears *	-	2,333,644		43,740,867		490,208	46,564,719
Rental arrears*					13,971	193,257	207,228
TOTAL ASSETS	125,789	37,779,889	55,058,283	1,118,875,448	23,011,501	95,396,273	1,330,247,183
LIABILITIES							
Reserves	125,789	37,779,889	55,058,283	1,118,875,448	23,011,501	91,796,401	1,326,647,311
Provisions						2,158,540	2,158,540
Other Creditors (specify)						1,441,332	1,441,332
TOTAL LIABILITIES	125,789	37,779,889	55,058,283	1,118,875,448	23,011,501	95,396,273	1,330,247,183

Annexure 5: Consolidated Statement of Comprehensive Income for Self-Administered Pension Funds for the 12 Months ended 31 December 2018

	Capital Insurance Brokers	Comerton Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Meraa Employee Benefits	Minerva Benefits Consulting	Nyando Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	ZimstLife Assurance Company	Total
Income											
Year to date Contributions (Including arrears)		10,954,269.30	-	12,687,343.16	17,264,809.41	32,934,913.00	1,469,043.93	33,700,581.00	148,208.62	672,482.00	109,831,650.42
Interest on contribution arrears		-	-	16,114.22	-	-	-	-	-	-	16,114.22
Transfer from other funds		(934,175.64)	-	-	502,609.97	6,996,279.00	-	1,641,624.00	-	3,216.00	8,209,553.33
Rental Income	20,000.00	892,021.20	-	477,079.86	2,480,579.45	3,398,881.00	3,270.00	2,204,496.00	2,290.39	641.00	9,479,258.90
Interest from investments		2,814,285.33	12,784.45	1,352,219.56	3,428,658.71	8,465,354.00	152,682.26	7,027,281.00	10,536.20	69,901.00	23,333,702.51
Dividends from investments		1,928,400.34	12,841.10	12,391,301.66	5,285,737.79	11,998,951.00	153,652.50	8,910,310.00	21,827.57	91,014.00	40,794,035.96
GLA Premiums received (paid)		-	-	-	(1,284,623.79)	(1,634,679.00)	-	(1,958,470.00)	(4,023.45)	-	(4,881,796.24)
Profit/ (loss) on disposals investments		796,485.91	3,509.62	16,539,109.67	12,711,977.91	23,662,575.00	-	-	-	344,431.00	54,058,089.11
Fair value gains (Losses)		4,066,201.46	-	-	-	167,979,764.00	-	116,385,428.87	-	-	288,431,394.33
Other		-	-	7,797.43	1,252,100.17	648,472.00	152,752.72	6,211,961.00	-	954,318.00	9,227,401.32
Total Income	20,000.00	20,517,487.90	29,135.17	43,470,965.56	41,641,849.62	254,450,510.00	1,931,401.41	174,123,211.87	178,839.34	2,136,003.00	538,499,403.86
EXPENDITURE											
Benefits											
Year to date pension benefits	6,520.17	2,888,251.19	-	38,580.86	5,219,717.45	11,179,893.00	-	12,605,129.00	-	-	31,938,091.67
1/3 Commutations paid		936,515.59	-	-	13,155,116.03	528.00	-	-	-	-	14,092,159.62
Full/part commutations paid after 1/3 commutations		479,821.43	102,356.64	-	421,820.80	509,322.00	5,673.96	-	8,347.51	125,769.00	1,653,111.34
resignations, dismissals		3,282,441.05	-	7,809,308.16	-	10,672,805.00	-	6,630,623.00	4,689.96	-	28,399,867.17
Death benefits		201,775.26	-	-	-	848,321.00	-	2,816,750.00	1,839.40	-	3,868,685.66
Others:1)Specify		-	-	1,025,010.56	72,766.12	-	-	-	-	500,922.00	1,598,698.68
Total Benefits	6,520.17	7,788,804.52	102,356.64	8,872,899.58	18,869,420.40	23,210,869.00	5,673.96	22,052,502.00	14,876.87	626,691.00	81,550,614.14
Administrative Expenses											
Admin Expenses	2,000.00	1,005,531.68	-	366,439.88	975,381.87	2,019,396.00	152,742.72	1,202,654.00	8,991.04	35,422.00	5,768,559.19
Investment Management Expenses		844,617.21	8,735.00	386,918.25	2,845,655.70	4,888,326.00	79,493.56	3,994,973.00	8,443.05	53,852.00	13,111,013.77
Actuarial fees		70,720.00	-	7,139.90	148,921.01	207,303.00	3,800.00	5,000.00	-	3,225.00	446,108.91
Audit fees		69,105.80	2,800.00	23,016.70	117,203.34	180,539.00	8,302.50	104,632.30	-	4,725.00	510,324.64
Legal fees		-	-	-	4,911.76	10,000.00	-	44,349.00	-	-	59,260.76
Board Fees		146,922.30	-	-	25,612.50	-	1,020.00	41,718.00	-	5,460.00	220,732.80
IPEC Levies		28,828.59	3,717.00	70,830.36	64,615.96	116,342.00	-	199,529.00	1,036.03	3,764.00	488,662.94
Bank Charges	200.00	78,025.45	13,684.97	76,763.70	64,718.60	122,492.00	7,096.97	13,811.60	2,307.33	1,292.00	380,392.62
Sundry expenses		-	-	-	274,186.64	1,248,880.00	-	-	-	-	1,523,066.64
Subscriptions i.e. ZAPF		18,305.00	780.00	4,120.00	9,030.05	41,528.00	3,160.00	16,367.00	-	6,660.00	99,950.05
Property Expenses	8,730.00	162,473.10	-	101,217.28	261,944.93	1,678,441.00	-	1,207,330.00	-	13.00	3,420,149.31
Transfer to reserves		-	-	-	1,563,908.03	-	-	159.00	-	-	1,564,067.03
Loss/(profit) on disposal of assets (specify)		495,783.51	-	-	931,300.98	1,101,609.00	-	(2,815,062.00)	-	-	(286,368.51)
Others:1)Specify		58,548.90	4,032.77	224,145.02	28,913.92	1,060,969.00	-	448,316.19	-	15,688.00	1,840,613.80
Total Administrative Expenditure	10,930.00	2,978,861.54	33,749.74	1,260,591.09	7,316,305.29	12,675,825.00	255,615.75	4,463,777.09	20,777.45	130,101.00	29,146,533.95
Total Expenditure	17,450.17	10,767,666.06	136,106.38	10,133,490.67	26,185,725.69	35,886,694.00	261,289.71	26,516,279.09	35,654.32	756,792.00	110,697,148.09
Surplus / (Deficit)	2,549.83	9,749,821.84	(106,971.21)	33,337,474.89	15,456,123.93	218,563,816.00	1,670,111.70	147,606,932.78	143,185.02	1,379,211.00	427,802,255.77

Annexure 6: Consolidated Statement of Financial Position for Self-Administered Pension Funds as at 31 December 2018

	Capitol Insurance Brokers	Comarion Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Minerva Benefits Consulting	Nyaredzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zinnat Life Assurance Company	Total
ASSETS											
Operating Assets											
Motor vehicles				42,000							42,000
Total operating assets	-	-	-	42,000	-	-	-	-	-	-	42,000
Investment Assets (Non-Current)											
Investment Property	800,000	23,814,030	1,199,959	23,317,111	55,538,662	103,845,317	45,593	77,743,382	45,226	-	286,349,279
Equities - Quoted	65,738	83,912,836	368,516	62,158,287	230,609,474	459,667,728	7,815,129	356,128,036	221,586	6,867,637	1,207,814,967
- Unquoted		5,042,454		1,983,881	2,962,726	324,070	20,230	6,384,926	-	536,750	17,255,037
Prescribed Assets - Government Stock		3,887,792	73,234	1,730,504	36,803,625	-	-	481,642	32,255	-	43,009,051
- Other prescribed assets		10,126,587	60,771	1,356,479	-	71,039,186	257,560	48,955,745	-	-	131,796,328
Fixed interest securities e.g. bonds & debentures		241,292		-	3,185,206	9,102,889	6,618	-	2,630	1,579	12,540,214
Loans and Mortgages on Property (excluding staff)		5,000		-	-	904,725				-	909,725
Staff loans and Mortgages		-		-	1,130,780					-	1,130,780
Long-term deposits		15,691		31,879	-					-	47,570
Guaranteed Fund					8,660,857	18,543,155				-	27,204,012
Other(Specify)		11,827		16,013,798	137,843		55,791	-	-	-	16,219,259
Total non-current investment assets	865,738	127,057,507	1,702,479	106,591,939	339,029,173	663,427,071	8,200,922	489,693,731	301,697	7,405,965	1,744,276,221
Investment Assets (Current)											
Prescribed Assets - Government Stock		-				-	1,011,936		38,271	689,112	1,739,318
- Other prescribed assets		4,122,964				-	238,601	-	-	796,753	5,158,318
Fixed interest securities		-				-	-	20,237,458	-	-	20,237,458
Cash at Bank	8,834	2,174,041	44,814	3,783,688	3,728,305	23,593,183	1,081,832	21,255,808	14,213	857,281	56,541,999
Money Market investments		15,174,972	27,903	1,523,976	16,569,000	13,686,221	729,612	54,200	13,493	178,932	47,958,309
Dividends and interest receivable		157,875		237,556	1,405,477	119,532		-			1,920,439
Other (Specify)		264,585		29,117,231	414,395	1,066,273	15,298	1,137,048	19,721		32,034,552
Total current investment assets	8,834	21,894,436	72,717	34,662,452	22,117,177	38,465,209	3,077,278	42,684,514	85,698	2,522,079	165,590,393
Contribution arrears *	135,654	26,384,771	1,792,143		13,447,651	4,392,607	-	8,911,724	726,711		55,791,260
Rental arrears*	113,960	724,850			272,562	1,302,965		1,755,301			4,169,638
Other (Specify)								46,036		-	46,036
TOTAL ASSETS	1,124,186	176,061,564	3,567,338	141,296,390	374,866,562	707,587,852	11,278,200	543,091,306	1,114,106	9,928,044	1,969,915,549
LIABILITIES											
Reserves	967,289	173,453,268	-	128,364,532	348,910,485	697,044,403	11,278,200	539,351,764	1,029,248	9,928,044	1,910,327,232
Provisions	56,209	127,881	3,567,338		357,837	385,768		1,077,373	-		5,572,406
Deferred pension benefits		-			16,951,101	129,021		-	-		17,080,122
Arrear pension benefits	28,465	-			1,112,841	2,767,089		251,290	82,112		4,241,796
Unclaimed Benefits				9,300,699	-						9,300,699
Sundry Creditors	72,223	2,480,416		1,782,536	4,433,753	1,443,070		1,112,889	2,746	-	11,327,634
Withdrawals					3,064,611	5,710,427		1,140,116			9,915,154
Other Creditors (specify)				1,848,623	35,935	108,074		157,874			2,150,506
TOTAL LIABILITIES	1,124,186	176,061,564	3,567,338	141,296,390	374,866,562	707,587,852	11,278,200	543,091,306	1,114,106	9,928,044	1,969,915,549

Annexure 7: Consolidated Statement of Comprehensive Income for Stand-Alone Pension Funds for the 12 months ended 31 December 2018

PENSION FUND	Catering Industry	Clothing Industry	Construction Industry	Communications and Allied Industry	GMB	Local Authorities	Motor Industry	Mining Industry	NRZ	ZARWU	Pentact Pension Scheme	Unified Councils	ZB Financial Holdings	ZIMDC	Electricity Industry	Zesa Staff	Total
INCOME																	
Year to date Contributions (Including arrears)	2,559,669	985,206.90	3,984,479	10,500,436.26	1,041,679	27,915,187	5,190,968	29,394,255	10,896,824	34,794	9,126	4,696,672	1,384,281		21,215,500	8,385,274	128,194,351
Interest on contribution arrears	-	-	493,831	3,773,388.73	458,891	1,534,245		10,097,227	1,718,633			2,882,689	-	141,152	8,665,856	1,457,326	31,223,239
Transfer from other funds	5,119	-	-	-	-	-	(49,946)	(63,783)					(73,353)				(181,963)
Rental Income (including arrears and interest on arrears)	908,049	885,260.33	962,448	6,221,650.31	63,106	7,844,869	1,021,669	4,497,275	12,065,712	8,400		110,026	338,339	218,015	1,062,000	1,374,292	37,581,111
Interest from Investments	326,918	1,180,991.36	375,122	1,798,665.76	29,473	165,555	1,636,689	670,299	3,325,096		86,414	9,559	1,402,709	18,966	4,558,287	402,055	15,986,800
Dividends from Investments	479,702	59.92	334,238	357,243.30	959	1,485,866	649,253	13,973,442	804,261	1,974		496	413,086		351,858	434,659	19,287,097
GLA Premiums received (paid)					176,028		(150,443)				(1,014)						24,571
Other income (profit on disposals)	52,385	25,123					1,246,816		2,899,056								4,223,380
Other income (unrealised profit)							17,072,675										17,072,675
Other Income	39,179	39,674.08	4,148,249	1,480.46	10,855	768,625	762,372.00	2,935,074	2,889,351					16,254			11,611,114
TOTAL INCOME	4,371,021	3,116,316	10,298,368	22,652,865	1,780,991	39,714,347	27,380,053	61,503,791	34,598,932.78	45,168	94,526	7,699,442	3,465,062	394,387	35,853,501	12,053,606	265,022,377
EXPENDITURE																	
Benefits Paid																	
Year to date monthly pension benefits	185,335		147,505	9,193,683.61	35,777.00	16,168,671	102,119	9,438,012	19,742,527	6,511		139,803	393,594	151,694	669,264	8,155,273	64,529,769
Retrenchments and retirements	-		1,435,776	915,790.82		11,152,498	624,782	1,730,043	1,921,480			665,828	43,178		1,750,181	395,965	20,635,523
Full/ Part commutations after 1/3	153,349	578,946.40		1,547,339.32	25,732.00	1,712,349	1,236,008	159,478		1,459			43,135				5,457,796
Withdrawals (resignations and dismissals)					4,901.00		1,010,688					185,007					1,200,596
Death benefit			71,668	215,716.09			108,914	636,503	245,289			490,319					1,768,408
Other benefits	627,421	-	(14,581)				197,819	6,489,366	513,510			84,017	217,530				8,115,082
Total Benefits Paid	966,105	578,946	1,640,368	11,872,530	66,410	29,033,518	3,280,330	18,453,401	22,422,807	7,970	-	1,564,974	697,437	151,694	2,419,445	8,551,238	101,707,173
Deductions by NEC			2,387						1,519								3,906
Staff costs	407,831	379,945.10	883,710	508,263.77	328,841.46	1,044,292	726,356	2,650,935	1,383,231.33			536,271.00	-	-	850,979	602,932	10,303,587
Admin Expenses	636,235	155,138.92	658,757	229,642.63	156,045.06	720,563	362,036	1,265,494	699,012			827,827	-	6,612	346,615	126,434	6,190,412
Investment Management Expenses/Investment Advisory Services	24,000	5,450.52	70,514		-	-	317,205	197,109	309,003			-	132,614		74,753	107,931	1,238,580
Actuarial fees	18,000	13,000.00	42,940	27,650.00	4,096.00	10,130	8,250	14,501	9,350				38,730	-	15,025	1,950	203,622
Audit fees	18,000	9,189.00	4,434	15,870.00	6,026.89	7,151	11,165	55,125	26,389			6,825	8,050	4,500	28,766	6,691	208,182
Legal fees	9,206	39,809.97	16,711	62,128.54	24,178.89	107,316	12,926	9,014	14,664			73,620		-		-	369,574
Board expenses	14,366	18,440.00	88,389	84,783.25	87,663.79	194,860	86,665	157,676	305,592	550		28,531		-	140,432	93,951	1,301,899
IPEC Levies	25,062	18,754.91	37,380	25,732.26	19,557.81	72,671	44,635	52,346	110,613	2,535	284	32,522	27,143	1,500	36,505	13,188	520,429
Bank Charges	7,715	18,164.48	22,019	81,604.68	82,070.22	71,706	24,566	178,839	187,618	306		21,086	409	1,232	72,372	93,824	863,532
Subscriptions i.e. ZAPP	1,500	2,070.07	6,169	9,591.48	880.00	1,680	5,136	22,151	2,601			1,680	1680	780	1,680	1,680	59,278
Property Expenses	443,830	225,352.33	386,975	544,722.63	5,228.88		77,219	2,800,084	3,292,885			187,923	13482	16,377	347,636	673,707	9,015,422
Transfer to reserves		164,201.15			-	-						-					164,201
Loss/profit on disposal of assets (specify)			-			-	217,000					-					217,000
Provision for bad debts, Depreciation, amortisation and other expenses				1,877,524.53	4,500	12,176,536	24,619	19,612,823				12,942					33,708,945
Other expenses:1)Specify						24,767		18,854		3,213		161,870	22896				231,603
Total Fund Administration expenses	1,605,745	1,049,516	2,220,385	3,467,514	719,089	14,431,672	1,917,778	27,034,952	6,342,477	6,604	284	1,891,097	245,007	31,001	1,914,763	1,722,288	64,600,172
TOTAL EXPENDITURE	2,571,850	1,628,463	3,860,753	15,340,044	785,499	43,465,190	5,198,108	45,488,353	28,765,284	14,575	284	3,456,071	942,444	182,695	4,334,208	10,273,526	166,307,345
SURPLUS/(DEFICIT)	1,799,171	1,487,853	6,437,614	7,312,821	995,492	(3,750,843)	22,181,945	16,015,439	5,833,649	30,594	94,241.84	4,243,371	2,522,618	211,693	31,519,293	1,780,080	98,715,031

Annexure 8: Consolidated Statement of Financial Position for Stand-Alone Pension Funds as at 31 December 2018

FUND	Catering Industry	Clothing Industry	Construction Industry	Communications and Allied Industry	GMB	ZARWU	Local Authorities	Mining Industry	Motor Industry	NRZ	Pentac Pension Scheme	Unified Councils	ZB Financial Holdings	ZMDC*	Zimbabwe Electricity Industry	Zesa Staff	Total
ASSETS																	
Operating Assets																	
Property			-		600,000	236,780				-			-	1,574,000			2,410,780
Motor vehicles	94,385	16,987	26,618	489,141.21	-		412,688	581,503	81,157	247,594		220,000	-		246,340		2,416,413
Computer systems and equipment	306,479	37,727	141,046	167,741.00	5,076		119,669	142,225	167,231	45,666		94,220	-		352,320		1,579,401
Furniture and equipment	100,642		66,889	57,079.69	640				47,300			42,754	-		426,060	12,350	753,714
Other (Specify)	-						88,525	84,972		18,732			-				192,229
Total operating assets	501,506	54,714	234,553	713,962	605,716	236,780	620,882	808,700	295,688	311,992	-	356,974	-	1,574,000	1,024,720	12,350	7,352,537
Investment Assets (Non-Current)																	
Investment Property	9,397,222	11,930,000	17,870,887	103,840,000.00	8,825,000		48,609,507	99,817,000	19,969,539	216,547,087		7,308,112	5,030,923	1,436	44,544,870	17,776,142	611,467,725
Equities - Quoted	5,124,497	2,068,039	8,230,724	25,493,625.82	987		17,169,613	196,908,399	34,766,771	29,999,080	21,509	17,222	15,516,288	257,197	18,799,358	24,528,587	378,901,896
- Unquoted				10,480,970.88			85,775	9,353,743	7,946,476	814,533		-	209,478	-	4,052	58,508	29,137,387
Prescribed Assets - Government Stock	2,727,862						400,000	2,199,001	4,072,099	132,356		-	3,035,452	-	15,936,091	5,838,558	34,341,419
- Other prescribed assets		593,153	1,557,935						4,762,109	2,621,091		193,806	792,490	-	7,999,032		18,519,616
Fixed interest securities e.g. private bonds				949,185.89				3,800,000	125,439	128,648			101,488	100,000			5,204,761
Loans and Mortgages on Property (excluding staff)				4,933,408.86	540,985				922,551	3,628,393			1,292,356		22,006,153		33,323,847
Staff loans and Mortgages			311,538	71,056.65					66,436	482,845		195,678			119,949		1,247,503
Other loans			145,917							31,387,917							31,533,834
External Assets										103,848,892							103,848,892
Long-term deposits									2,137,169								2,137,169
Other		2,067,248	4,697,084				567,383	419,949	5,664,454		406,528		3,279,165		555,341		17,657,152
Total non-current investment assets	17,249,581	16,658,440	32,814,084	145,768,248	9,366,972	85,775	76,100,246	313,227,994	71,163,931	388,960,161	428,037	7,714,818	29,257,640	358,633	109,964,846	48,201,795	1,267,321,202
Investment Assets (Current)																	
Prescribed Assets - Government Stock				6,917,120				4,440,968	-	1,950,000		1,728	-				13,309,816
- Other prescribed assets					715,116				-	-		77,168	-				792,284
Cash at Bank	1,163,898	81,584	476,775	1,756,198.83	29,069	4,068	1,430,394	1,656,903	2,582,991	4,020,260		131,683	859,589	21,690	1,149,522	857,737	16,222,363
Money Market investments	81,315	2,597,747	485,480	4,224,038.96				4,962,143	79,498	4,023,938			4,836,165	105,628	36,680,000	4,364,000	62,439,953
Staff loans								507,292	16,775	4,510		2,381					530,959
Dividends and interest receivable	261,234	14,178		305,919.49			347,319	180,017	13,501	-		5,281	1,075		536,566	147,160	1,812,251
Other (Specify)			4,453,374	53,547.12	25,942		97,615	52,131	885,922	120,374			551,143		10,031,630	557,249	16,828,927
Total current investment assets	1,506,447	2,693,509	5,415,629	13,256,824	770,127	4,068	1,875,328	11,799,454	3,578,687	10,119,082	-	218,242	6,247,972	127,318	48,397,718	5,926,146	111,936,553
Contribution arrears *	292,967	1,438,541	970,117	24,283,056.59	3,149,571	27,142	199,373,863	129,332,248	5,158,693	24,135,120		31,943,623		3,270,541	61,285,456	9,221,805	493,882,742
Rental arrears*	307,418	755,798	266,362	10,411,024.78	33,785	3,405	1,127,857	6,837,720	58,915	9,551,939			9,386	218,015	108,993	612,541	30,303,158
Other			2,337,121	62,324	79,170	75,300		1,542,575						4,115			4,100,606
Group Life Assurance contribution arrears					1,822,927												1,822,927
TOTAL ASSETS	19,857,919	21,601,002	42,037,866	194,495,440	15,828,268	432,471	279,098,176	463,548,692	80,255,914	433,078,294	428,037	40,233,657	35,514,998	5,552,822	220,781,733	63,974,637	1,916,719,725
LIABILITIES																	
Reserves	19,610,566	5,459,735	41,397,515	101,568,982	3,290,963	427,657	72,206,511	145,709,959	79,255,657	427,187,146	426,176	39,303,918	35,429,002	4,215,486	217,077,219	62,155,331	1,254,721,822
Provisions	94,727.00	34,545	116,624	78,336,589	8,109,069		199,458,298	229,156,362.00	806,410	2,121,557				250,601			518,484,781
Deferred pension benefits		574,952		32,956,326.00	392,130			60,801,079		-							94,724,487
Arrear pension benefits					678,774		53,547,528			1,248,851			30,527	238,831			68,293,568
Unclaimed Benefits		3,141,994						11,622,749		2,186,436				755,704			17,706,883
Sundry Creditors	50,114	130,075	441,124	732,724.05	2,918,317	4,814	1,502,683	3,387,763	87,087	334,305	1,861	714,047		1,180	2,470,794	722,123	13,499,012
Withdrawals		312,003			439,015				560,285			198,807	24,660	92,000			1,626,770
Others	102,512	11,947,698	82,603	369,703.09				321,723	(453,525)			16,885	30,809		1,233,720	1,097,183	14,749,310
TOTAL LIABILITIES	19,857,919	21,601,002	42,037,865	213,964,324	15,828,268	432,471	326,715,020	463,548,692	80,255,914	433,078,295	428,037	40,233,657	35,514,998	5,553,802	220,781,733	63,974,637	1,983,806,633
NET ASSETS AVAILABLE FOR BENEFITS	-	0	0	(19,468,884)	(0)	0	(47,616,844)	(0)	-	(0)	0	0	-	(1,180)	-	-	(67,086,907)